



S. Balaji, 35

with his 5-year-old daughter, Mahati
BANGALORE

Plan»

ICICI Prudential Smart Kid Policy, with an annual premium of Rs 1.2 lakh

Bought the policy in»

2005 (when the child was 3 years old)

"I was looking at a product, which would allow me to use the proceeds for my daughter's higher education or marriage anytime after she turned 18."

"In case of children, there are many costs that are not accounted for under any specific head."

RAJESH DALMIA, Financial Planner, Kolkata

es, you should definitely for your child's (age 17-18) and (age 21-22). You'll tune if your child road—consider pay-0 for a short stint at . Then, there's the dding expenses and your child wants to Given the extrava-ndian weddings are, ell out more than a ven a "modest" cer-er Rs 1.5 lakh. re willing to make her areas, but are

generally determined to give their child the best possible education. "I can compromise on my financial plan for retirement or anything else in the last two years of school for a good coaching and education for my daughter," says S. Balaji. He bought a child plan from ICICI Prudential Life for his daughter, which will start paying back when she turns 18. Such child plans have a two-fold benefit. They insure your life while creating a corpus for your child to be redeemed at select milestone years—entering college, finishing college, etc. "While there are bank accounts and credit cards for children, only a few child

plans from insurers and mutual funds address this biggest financial goal," says Anjana Grewal, senior V-P, Birla Sun Life Insurance. The biggest advantage of these plans is the life cover offered to the parent.

The bottom line is clear: a child might well be a blessing, but is also definitely a long-term expense. The good news is that there are child-specific financial products available, albeit not as many as there ought to be. Choose from what's on offer or structure your own plan. But don't forget that in order to enjoy your years as a parent, you simply must start planning your finances even before you start planning a baby.

For more details, read
Money Today issue dated July 10,
2008 currently on newsstands or
log on to www.moneytoday.in



tion expense

in the year 2000 **Rs. 2,50,000/-**

in the year 2008 **Rs. 6,00,000/- ^**

indicative cost for the entire course in the year 2008. Backward interpolation has been done, assuming inflation @ 10%, to arrive at or a two-year MBA course at a premier Business school, in the year 2000.